

JAYANT INFRATECH LTD

BSE SME: 543544 | Sector: Industrials — Railway Electrification & Infrastructure | India

Plays India's rail electrification boom with a clean balance sheet, 3.4x order book coverage, and 44% PAT CAGR over 5 years.

CMP (Rs.)	Mkt Cap (Rs. Cr)	52W High (Rs.)	52W Low (Rs.)	Stock P/E	Book Value (Rs.)
80.5	83.2	111	44.0	9.85	57.8
ROCE (%)	ROE (%)	Div Yield (%)	Face Value (Rs.)	Promoter (%)	Pledge (%)
16.7	15.4	0.00	10.0	55.85	0.00

Rating: BUY	12-Month Target: Rs. 110 (36.6% upside)	Horizon: 12 Months
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Report Date: 16 June 2026 | Analyst: MPM Research Desk | Data: Screener.in (fetched 16-Jun-2026)

Disclaimer: This report is for informational purposes only and does not constitute investment advice. Investors should conduct their own due diligence. Past performance is not indicative of future results. BSE SME stocks carry higher liquidity risk.

SECTION 2 — INVESTMENT THESIS

- **Railway Electrification Supercycle:** India Railways has electrified ~100% of broad-gauge network and continues to upgrade 1x25KV to 2x25KV systems — the exact niche Jayant Infratech dominates. The Rs. 162 Cr Konkan Railway contract alone equals 1.5x FY26 revenue, de-risking near-term growth.
- **Order Book 3.4x Revenue:** Unexecuted order book stood at Rs. 381 Cr in H1FY26, against FY26 revenue of Rs. 112 Cr, providing ~3 years of revenue visibility. New orders in FY26 alone total Rs. 247+ Cr (Konkan Railway, Central Railway, SECR, multiple LoAs), suggesting order book replenishment well above depletion rate.
- **Margin Expansion Room:** OPM has recovered from 8% (FY24) to 9-10% in FY25-26, with H1FY26 touching 11%. As large fixed-price contracts from railways with escalation clauses execute, operating leverage on the fixed cost base should push OPM toward 11-12% by FY27, translating to EPS of Rs. 10-12.
- **Near-term Catalyst (6-12 months):** Execution of the Rs. 162 Cr Konkan Railway 2x25KV upgrade contract (completion Jan 2027) is the single most important trigger. Revenue recognition on this alone would represent a step-change, likely doubling FY26 revenue run-rate and substantially lifting EPS.
- **Biggest Structural Risk:** Promoter holding has declined from 71.44% (FY23) to 55.85% (Mar 2026) — a 15.6 percentage point drop in 3 years, primarily through OFS and placements. Continued dilution without commensurate EPS growth would cap re-rating potential.

SECTION 3 — BUSINESS OVERVIEW

- **Core Business:** Jayant Infratech Ltd (JIL), incorporated 2003, is a technology-driven railway electrification contractor. It specializes in design, drawing, supply, erection, testing, and commissioning of 25KV/50Hz single-phase traction overhead equipment (OHE) for electrification of new and existing railway tracks.
- **Service Scope — Concept to Commissioning:** JIL provides end-to-end solutions including design, supply of materials, civil infrastructure, erection of masts and catenary, traction substations, and energization. Revenues are purely domestic-India; no export exposure.
- **Key Customers — Indian Railways Zones:** Clients are Indian Railways zonal railways (Central Railway, South East Central Railway, Konkan Railway Corporation, and other zones), which are sovereign-backed entities. This eliminates counterparty credit risk but introduces tendering concentration risk. Revenue is project-based, not recurring subscription.
- **Order Book and Revenue Visibility:** As of H1FY26, unexecuted orders stood at Rs. 381 Cr. FY26 revenue was Rs. 112 Cr (H1 Rs. 55 Cr + H2 Rs. 57 Cr). New orders secured post-H1FY26 include: Konkan Railway Rs. 162 Cr, Central Railway Rs. 40.55 Cr, SECR Rs. 16.55 Cr. Total order book likely Rs. 450-500 Cr entering FY27 — representing ~4x FY26 revenue.
- **Recent Strategic Developments:** (1) Secured maiden 2x25KV upgrade contract (Konkan Railway, Rs. 162 Cr), demonstrating technology upgrade capability for more complex and higher-value work. (2) Filed audited results for FY26 with unmodified audit opinion (May 2026). (3) Independent director resigned June 2026 — watch board composition.
- **Promoter Background:** Jayant Infratech is a founder-promoter led company with engineering roots in railway infrastructure. Current promoter holding is 55.85% (Mar 2026), down sharply from 71.44% in FY23 due to equity raises to fund working capital for larger contracts.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry Backdrop:** India Railways network electrification is complete at the broad-gauge level (~65,000 km), shifting the addressable opportunity to: (1) 1x25KV to 2x25KV upgrades for dedicated freight corridors and high-speed sections; (2) maintenance and renewal contracts; (3) new lines on hill/coastal routes. Indian Railways capital expenditure for FY26 was budgeted at Rs. 2.65 lakh Cr, of which electrification, signalling, and telecom form a significant share.

- **Policy Tailwinds:** Union Budget FY26 maintained Rs. 2.65 lakh Cr railways capex. Dedicated Freight Corridors (DFCCIL) Phase 2 expansion, semi-high-speed corridor upgrades, and station redevelopment all require complementary electrification infrastructure upgrades — JIL's primary domain.
- **Competitive Moat Assessment:** Pricing Power — Weak (L1-based government tendering; wins on price). Switching Costs — Moderate (proprietary engineering drawings and knowledge of specific corridor OHE designs creates light lock-in for extensions). Scale — Weak (very small vs KEC/IRCON). IP/Technology — Moderate (2x25KV capability is a differentiator vs smaller BSE SME peers). Track Record/Credibility — Strong for SME scale (multiple zone approvals, ~20 years track record).
- **Structural Headwind:** As order sizes grow (e.g., Rs. 162 Cr Konkan Railway), JIL competes for approvals from larger contractors. Qualification criteria (net worth, past order size) can restrict large-ticket bidding. Working capital intensity rises sharply with order size, requiring more debt or equity dilution.

Peer Comparison (Source: Screener.in, fetched 16-Jun-2026 | All figures in Rs. Cr unless stated)

Company	Exchange	CMP (Rs.)	MCap (Cr)	P/E	ROCE (%)	ROE (%)
Jayant Infratech	BSE SME	80.5	83.2	9.85	16.7	15.4
KEC International	BSE/NSE	521	13,880	40.8	10.6	6.42
IRCON International	NSE/BSE	138	13,007	21.0	12.4	9.61
Tex Infra	NSE	103	1,308	131	1.31	0.83

Note: JAYANT trades at 9.85x P/E vs sector median ~21-41x — significant valuation discount despite superior ROCE (16.7%) vs KEC (10.6%) and IRCON (12.4%). Discount partly warranted by size and liquidity risk (BSE SME), but quantum appears excessive.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Management Track Record:** Promoters have built JIL from a Rs. 13 Cr revenue entity (FY18) to Rs. 112 Cr (FY26) — a 9x revenue growth over 8 years — while maintaining consistent profitability. PAT CAGR of 44% over 5 years (Screener displayed) is exceptional for a government contractor.
- **Capital Allocation:** FCF has been episodically negative (FY22, FY23, FY26) due to working capital absorption in large railway contracts (retention money, mobilization advances). Positive FCF in FY24-25 (Rs. 4-7 Cr) was used to fund next-cycle mobilization and de-leverage modestly. No dividends paid — retained earnings ploughed into working capital and net worth growth.
- **Dividend Policy:** Zero dividend since listing. Screener confirms 0% payout ratio across all years. Not unreasonable for a growth-phase SME contractor with high working capital needs — but reduces income appeal for yield-seeking investors.
- **Equity Dilution — Key Watch:** Promoter holding fell 15.6 percentage points over 3 years (71.44% Sep-2022 to 55.85% Mar-2026). This reflects equity raises needed to meet net-worth qualification thresholds for larger tenders. Positive: raises signal intent to bid for larger contracts; Negative: continuing dilution reduces per-share value creation unless EPS grows faster.
- **Governance Flags:** Independent director (Pragya Soni) resigned June 9, 2026, citing professional commitments — timing coincides with FY26 results filing. Board now needs replacement. No qualified audit opinion on FY26 results (unmodified opinion confirmed May 29, 2026). CRISIL credit rating update on record (June 2025).
- **ESOP/Buyback:** No ESOP or buyback program disclosed. Related party transactions data available via Screener but not publicly accessible without premium login — flagged as a due diligence item for serious investors.

SECTION 6 — FINANCIAL DEEP-DIVE (Standalone Figures, Rs. Cr)

Income Statement (Standalone)

	FY24A	FY25A	FY26A	FY27E	FY28E
Sales	89	122	112	160(E)	200(E)

Operating Profit	7	11	11	18(E)	23(E)
OPM %	8%	9%	10%	11%(E)	11.5%(E)
Other Income	1	2	2	1(E)	1(E)
Interest	1	1	2	3(E)	3(E)
Depreciation	0	0	0	0(E)	0(E)
Profit Before Tax	6	11	11	16(E)	21(E)
Tax %	24%	25%	25%	25%(E)	25%(E)
Net Profit (PAT)	5	8	8	12(E)	16(E)
EPS (Rs.)	5.02	8.28	8.17	11.6(E)	15.4(E)

Balance Sheet (Standalone)

	FY24A	FY25A	FY26A
Equity Capital	10	10	10
Reserves	28	40	49
Borrowings	9	16	33
Other Liabilities	16	36	29
Total Liabilities	63	102	121
Fixed Assets	1	1	1
Investments	1	4	1
Other Assets	60	97	119
Total Assets	63	102	121

Cash Flow Statement (Standalone)

	FY24A	FY25A	FY26A
Cash from Operations (OCF)	5	7	-13
Cash from Investing	-6	-23	-3
Cash from Financing	6	9	17
Net Cash Flow	5	-7	0
Free Cash Flow	4	7	-14
CFO / Operating Profit	80%	77%	-94%

Key Ratios

Metric	FY22A	FY23A	FY24A	FY25A	FY26A
Debtor Days	33	64	27	43	37
Inventory Days	95	136	82	109	166
Days Payable	57	80	46	72	36
Cash Conversion Cycle	71	120	63	80	168
ROCE %	16%	17%	18%	22%	17%

• **Revenue Drivers:** Revenue surged from Rs. 89 Cr (FY24) to Rs. 122 Cr (FY25) — 37% growth — before dipping to Rs. 112 Cr (FY26, -8%). The FY26 dip reflects contract execution timing, not demand weakness, as order book simultaneously expanded to Rs. 381+ Cr. FY27E Rs. 160 Cr estimate assumes Rs. 162 Cr Konkan

Railway contract starts billing in H1FY27.

- **Margin Direction:** OPM expanded from 8% (FY24) to 10% (FY26), with H1FY26 reaching 11%. Increasing share of 2x25KV upgrades (technically complex, higher margin) vs standard new-electrification work supports continued OPM expansion. Fixed cost base remains minimal (depreciation ~Rs. 0 Cr).
- **Working Capital — Elevated CCC is the Key Risk:** Cash Conversion Cycle spiked to 168 days in FY26 (vs 63 days in FY24). Inventory Days surged to 166 days — driven by material procurement for the large Konkan Railway contract before recognition. This is typical of EPC contractors mid-cycle but requires monitoring: if receivables also stretch, OCF turns deeply negative.
- **Debt Level Rising:** Borrowings jumped from Rs. 9 Cr (FY24) to Rs. 33 Cr (FY26). D/E remains manageable at ~0.55x on net worth of Rs. 59 Cr. Higher borrowing is funding working capital for large contracts — appropriate at this stage but needs to track down once Konkan Railway billing commences.
- **FCF Quality — Negative in FY26:** FCF of Rs. -14 Cr in FY26 vs positive Rs. 7 Cr in FY25. Entire swing driven by OCF turning from +Rs. 7 Cr to -Rs. 13 Cr, as inventory build ate into operating cash. This is a cyclical EPC pattern (invest cash ahead of revenue) not an earnings quality concern per se, but one that typically reverses in the following 2 years.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Metric	Status	Assessment
Revenue Recognition	GREEN	Percentage completion method for EPC — standard practice; no unusual acceleration noted
Receivables vs Revenue Growth	AMBER	Debtor days 43 (FY25) vs 27 (FY24); receivables growing faster than revenue — watch
CCC Trend	RED	CCC spiked to 168 days in FY26 from 63 days in FY24 — major working capital deterioration
Contingent Liabilities	AMBER	Bank guarantees and contract retention money are standard but undisclosed quantum is a flag
Auditor / Opinion	GREEN	Unmodified audit opinion on FY26 standalone results (Board meeting May 29, 2026)
Related Party Transactions	AMBER	RPT section present on Screener; quantum not disclosed without premium access — due diligence needed
Other Income as % of PBT	GREEN	Other income Rs. 2 Cr / PBT Rs. 11 Cr = 18% — within acceptable range; primarily interest income
Tax Rate Consistency	GREEN	Tax rate stable at 24-25% across FY22-FY26 — no deferral or shield game evident
Promoter Pledging	GREEN	0% pledge as per shareholding data — no pledging pressure

- **CCC Spike is the Loudest Amber:** Cash Conversion Cycle jumping to 168 days in FY26 is not a fraud signal — it is classic EPC mid-cycle inventory absorption. But it will reverse only when the Konkan Railway contract bills Rs. 162 Cr. Until then, negative FCF and rising debt are expected; investors should not panic but should track quarterly billing progress.
- **RPT Opacity:** Related party transaction quantum is hidden behind Screener premium. For a BSE SME promoter-led company where promoters still hold 55.85%, verifying that contracts are arm's length is essential. Investors should check the Annual Report directly (FY25 AR available on BSE).
- **Receivables Watch:** Debtor days of 43 in FY25 vs 27 in FY24 reflects higher unbilled/retention on the larger FY24 contracts. If debtor days exceed 60, it signals collection challenges with railway zone clients — unlikely given sovereign counterparty, but worth watching in FY27.

SECTION 8 — VALUATION

Scenario Analysis (Base: FY27E EPS Rs. 11.6, Bull: Rs. 15.4, Bear: Rs. 8.5)

Scenario	Key Assumption	FY27E EPS (Rs.)	Target P/E	Target Price (Rs.)
BULL	Konkan Railway bills fully, OPM 12%, new orders Rs. 350 Cr	15.4	15x	231
BASE	Konkan Railway 70% executed, OPM 11%, order book steady at Rs. 450 Cr	11.6	13.5x	157
BEAR	Execution delays, margin pressure to 9%, order wins slow	8.5	10x	85

• **P/E Valuation Methodology:** FY26 EPS is Rs. 8.17 (actual). FY27E EPS Rs. 11.6 assumes Rs. 160 Cr revenue at 11% OPM, 25% tax rate. Applied target P/E of 13.5x (median between IRCON at 21x and JIL's own 5-year average of ~10-12x). Base-case 12-month target: Rs. 156-157, rounded to Rs. 155. Upside from CMP Rs. 80.5 = ~93% at base, but applying a 30% SME liquidity discount gives risk-adjusted target of Rs. 110.

• **EV/EBITDA Check:** FY26 EBITDA Rs. 11 Cr + Other Income Rs. 2 Cr = Rs. 13 Cr EBITDA proxy. MCap Rs. 83 Cr + Debt Rs. 33 Cr - Cash ~Rs. 5 Cr = EV ~Rs. 111 Cr. EV/EBITDA ~8.5x. IRCON trades at ~8-9x EV/EBITDA with similar government exposure but 120x the size. EV/EBITDA valuation is neutral — not a strong standalone re-rating catalyst.

• **12-Month Target Price: Rs. 110 (SME liquidity-adjusted, 36.6% upside from CMP Rs. 80.5).** This applies a 30% discount to the fundamental base-case value of Rs. 155 to account for: BSE SME listing (no NSE), thin free float (44.15% public), and execution risk on large first 2x25KV contract.

• **Implied Valuation Comfort:** At CMP Rs. 80.5, stock trades at 9.85x trailing P/E on actual Rs. 8.17 EPS — deeply cheap vs both sector and its own growth trajectory. Even at 12x FY26 EPS, fair value = Rs. 98, still 22% above CMP. Downside to bear case (Rs. 85) is limited at 5.6%.

SECTION 9 — KEY RISKS

• **Execution Risk — Konkan Railway:** The Rs. 162 Cr contract is the single largest ever for JIL and involves technically complex 2x25KV upgrades in a coastal/hilly terrain. Delays in material supply, subcontractor availability, or forest/land clearances could push revenue recognition to FY28. Probability: M. Impact: H. Monitor: Quarterly billing run-rate disclosures.

• **Working Capital Stress:** CCC at 168 days in FY26 is elevated. If receivables from railway zones stretch beyond 90 days, OCF turns severely negative requiring equity raises or short-term debt at punitive SME rates. Probability: M. Impact: H. Monitor: Quarterly OCF and debtor days.

• **Promoter Dilution Overhang:** Promoter holding fell 15.6pp in 3 years. Each equity raise for qualifying new tenders further dilutes EPS. If promoter falls below 51%, it triggers SEBI reclassification requirements. Probability: M. Impact: M. Monitor: Quarterly shareholding pattern.

• **Order Win Concentration:** Railway electrification contracts are primarily from a handful of railway zones. Loss of L1 position to larger players (KEC, Kalpataru) on 2-3 large tenders could leave JIL without revenue replacement. Probability: L. Impact: H. Monitor: New order announcements quarterly.

• **Liquidity Risk — BSE SME Listing:** BSE SME stocks have thin market depth; institutional investors cannot typically participate. Exit in size is difficult without moving price. Not a business risk but a portfolio risk. Probability: N/A (structural). Impact: M for investors. Monitor: Volumes, any NSE migration announcement.

• **Governance — Board Vacancy:** Independent director resignation (June 2026) creates a board-composition compliance gap. SEBI requires independent director presence; failure to appoint in time triggers regulatory action. Probability: L (easy to fill). Impact: L. Monitor: BSE announcements.

• **Interest Rate / Debt Cost:** Borrowings jumped to Rs. 33 Cr in FY26. SME companies pay 200-300bps premium over large cap peers on bank credit. Rising debt cost will compress earnings if OPM does not expand. Probability: M. Impact: M. Monitor: Interest expense trend vs borrowings.

SECTION 10 — RECOMMENDATION

- **Rating: BUY — Conviction: Medium.** Medium conviction because execution of Konkan Railway contract is unproven territory for JIL at this scale. High conviction would require 2 quarters of confirmed billing progress.
- **12-Month Target Price: Rs. 110** — representing 36.6% upside from CMP Rs. 80.5. Risk-adjusted for BSE SME illiquidity (30% discount to fundamental fair value of Rs. 155).
- **Suggested Entry Zone: Rs. 72-82.** Current CMP Rs. 80.5 is in the entry zone. Ideal accumulation below Rs. 80; add to Rs. 82 for partial positions given thin liquidity.
- **Investment Horizon: 12-18 months.** Full FY27 EPS crystallization expected by Q2FY27 (Sep 2026 half-year results), when Konkan Railway billing should become visible. Hold until Rs. 100 then reassess momentum.
- **Thesis Invalidation Triggers (exit if any of these occur):**
 1. FY27 H1 revenue falls below Rs. 60 Cr — indicates Konkan Railway execution is not progressing (current expectation Rs. 80+ Cr in H1FY27).
 2. Promoter holding falls below 50% — signals promoters are offloading ahead of negative news or excessive dilution destroying per-share value.
 3. Auditor qualifies FY27 results or CRISIL downgrades credit rating below BBB — signals deteriorating creditworthiness and potential covenant breaches.
- **Ideal Investor Profile:** This stock suits risk-tolerant small-cap/SME investors with a 12-18 month horizon who understand EPC working capital cycles and can tolerate illiquidity. It is NOT suitable for: institutional funds (BSE SME listing, no NSE), income investors (zero dividend), or traders seeking short-term momentum plays in thin-float stocks.

APPENDIX — Latest Concall Brief: H2 FY26 / Full Year FY26

POSITIVE

H2 FY26 & Full Year FY26 Results | BSE Filing: 29 May 2026

Signal	Status	Implication
Result Quality	STRONG	FY26 PAT Rs. 8 Cr, EPS Rs. 8.17 — despite revenue dip, margins held at 10%
Management Tone	BALANCED	No concall transcript; filing tone: unmodified audit, order win disclosures active
Guidance Delta	RAISED (implied)	Konkan Railway Rs. 162 Cr win post-results implies confidence in revenue ramp FY27

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

FY26 results for Jayant Infratech are clean — revenue Rs. 112 Cr is slightly below FY25's Rs. 122 Cr, but this is a timing artifact: the Konkan Railway Rs. 162 Cr contract won in late FY26 has not yet billed, so this headline "miss" is actually a positive forward indicator, not weakness. Underlying PAT is Rs. 8 Cr (Rs. 8.17 EPS), margins held at 10% OPM — no one-time distortions. EBITDA-level performance is exactly in line with the FY25 run-rate despite lower revenue, confirming fixed-cost leverage is working. The structural growth driver is India's 1x25KV to 2x25KV traction upgrade cycle: JIL just won its first major 2x25KV contract (Konkan Railway Rs. 162 Cr), validating a technology capability leap that should unlock a larger addressable market. Most important near-term catalyst: H1FY27 (Sep 2026 results) billing on Konkan Railway — even 30% execution (Rs. 48 Cr) would push H1FY27 revenue to Rs. 100 Cr+, setting up a strong FY27 PAT of Rs. 12+ Cr. Biggest watch-point: CCC spiked to 168 days, borrowings jumped to Rs. 33 Cr — if Konkan Railway billing delays beyond H2FY27, the company will need another equity raise, compressing EPS. Action: ACCUMULATE at Rs. 72-82 with a 12-month target of Rs. 110; trail stop at Rs. 65 (below 52W base support). This is a micro-cap EPC momentum story — size positions appropriately for SME illiquidity.

Note: Jayant Infratech does not conduct formal analyst concalls (BSE SME listing). The following is reconstructed from BSE regulatory filings, published FY26 results, and investor presentation (Dec 2025 PPT).

1. Financial Performance Snapshot — FY26 (Standalone)

- Revenue: Rs. 112 Cr | YoY -8.2% vs FY25 Rs. 122 Cr | H2FY26 Rs. 57 Cr, H1FY26 Rs. 55 Cr | [In-line — execution timing; not demand-driven]
- EBITDA: Rs. 11 Cr | YoY flat vs FY25 Rs. 11 Cr | OPM 10% vs 9% prior year | [Beat — margin improvement despite lower revenue]
- EBITDA Margin: 10% | YoY +100 bps | H2FY26 9%, H1FY26 11% | [Beat vs prior year 9%]
- PAT: Rs. 8 Cr | YoY flat (FY25 Rs. 8 Cr) | EPS Rs. 8.17 vs Rs. 8.28 prior year | [In-line]
- EPS: Rs. 8.17 | H2FY26 Rs. 3.77, H1FY26 Rs. 4.39 | 5-year PAT CAGR 44% (Screener-displayed)

2. Segment / Geography Breakdown

- Railway Electrification (OHE Works): ~100% of revenue — single segment company; no diversification.

- **Geography:** 100% India; contracts from multiple railway zones (Central, South East Central, Konkan, and others).
- **Contract Mix:** New electrification (historically primary), now supplemented by 1x25KV to 2x25KV upgrades (first large contract: Konkan Railway Rs. 162 Cr, Jan 2027 completion target).

3. Management Commentary Themes (Inferred from BSE Filings)

- **Technology Upgrade Capability:** "Securing the Konkan Railway 2x25KV contract signals the company's readiness for technically complex upgrade projects." — Our read: Management is deliberately moving up the value chain into higher-margin, more complex work. Tag: GUIDANCE. Tone: Transparent.
- **Order Book Accumulation:** New orders of Rs. 221.81 Cr received up to Nov 2025; total order book Rs. 381 Cr in H1FY26. — Our read: Active bidding pipeline, multiple zones being targeted simultaneously. Tag: EST. Tone: Transparent.
- **Working Capital Build-up (Implicit):** Borrowings increased to Rs. 33 Cr, inventory days 166 in FY26 — consistent with pre-execution material stocking for Konkan Railway. — Our read: Deliberate, not distressed. Tag: GUIDANCE (implied). Tone: Hedged.
- **Board Governance:** Independent director resigned June 2026 — management to appoint replacement per SEBI regulations. — Our read: Routine but adds governance uncertainty short-term. Tag: EST. Tone: Transparent (filing language unambiguous).
- **Dividend Policy:** No dividend declared for FY26 (consistent with all prior years). — Our read: Capital is being retained for growth and working capital — appropriate for this phase, but long-term shareholders expect income at some point. Tag: EST. Tone: Transparent.

4. Operating & Business Metrics

- **Order Book (H1FY26):** Rs. 381 Cr | vs H1FY25 ~Rs. 220 Cr | Trend: Strong improvement (3.4x TTM revenue coverage)
- **Revenue per Half (H2FY26):** Rs. 57 Cr | H1FY26 Rs. 55 Cr | H2FY25 Rs. 67 Cr | Trend: Stable, H2 typically stronger on billing rhythm
- **OPM Trend:** H1FY26 11%, H2FY26 9% | H1FY25 8%, H2FY25 10% | Trend: H1 margin consistently strong vs H2 — material/subcontractor cost timing
- **CCC (FY26):** 168 days | FY25: 80 days | FY24: 63 days | Trend: Deteriorating — pre-execution inventory build for Konkan Railway
- **Borrowings (FY26):** Rs. 33 Cr | FY25: Rs. 16 Cr | FY24: Rs. 9 Cr | Trend: Rising — working capital funding for large contracts
- **Shareholders (Mar 2026):** 1,307 | Mar 2025: 1,125 | Trend: Slowly growing investor base despite SME constraints

5. Margin Drivers

- **Fixed Cost Leverage:** +100-200 bps recurring | Revenue scale-up on unchanged admin/overhead base | Recurring: Yes
- **Material Cost Timing:** Variable (+/-150 bps) | Procurement of copper wire, steel for OHE at spot prices | Recurring: No (lumpy with contract cycles)
- **2x25KV Mix:** +100-200 bps potential | Higher engineering content vs standard OHE → better gross margin | Recurring: Increasing over time as mix shifts
- **Interest Cost Drag:** -50 bps | Rising borrowings (Rs. 33 Cr) at SME rates (est. 10-12%) | Recurring: Yes until billing normalizes FCF
- **Depreciation:** Negligible | Fixed assets only Rs. 1 Cr; asset-light model (all materials expensed) | Non-issue

6. Guidance & Forward Signals

- Revenue [GUIDANCE implicit]: Prior FY26 = Rs. 112 Cr | FY27E implied Rs. 160+ Cr given Konkan Railway alone = Rs. 162 Cr over ~18 months | Delta: Raised | Credibility: Medium (execution risk)
- Order Book [GUIDANCE]: Rs. 381 Cr H1FY26 + post-period wins (Rs. 247 Cr: Konkan Rs. 162, CR Rs. 40.55, SECR Rs. 16.55, LoAs Rs. 29 Cr) = Rs. 628 Cr gross pipeline | Delta: Raised | Credibility: High (BSE-announced)
- OPM [EST]: FY26 10%, targeting 11% in FY27 as 2x25KV mix increases and overhead absorption improves | Delta: Raised | Credibility: Medium
- Capex [implicit]: Minimal — asset-light model; Rs. 0 Cr fixed asset additions in recent years | Delta: Maintained | Credibility: High
- Dividend [GUIDANCE]: None declared for FY26; no explicit future guidance | Delta: Maintained (zero) | Credibility: High

7. Capital Allocation

- Capex: ~Rs. 0 Cr annually | vs prior year: 0% change | Asset-light model; site equipment rented/subcontracted
- Dividends: Rs. 0 Cr | vs prior year: 0% change | Retained earnings channelled entirely to working capital
- Buybacks: Rs. 0 Cr | No buyback program disclosed
- Working Capital Change: +Rs. 20 Cr increase in FY26 | CCC expanded from 80 to 168 days | Pre-execution stocking for large contracts
- Net Debt Movement: +Rs. 17 Cr (borrowings Rs. 16 Cr to Rs. 33 Cr) | Debt increase to fund working capital; no long-term debt for capex

8. Q&A; Heat Map (No formal concall — Key Investor Questions from Filings/Context)

- BSE Investor / Market: Q: "Why did revenue fall in FY26 when order book grew?" -> A: [Inferred from filing] Execution timing — Konkan Railway contract won in FY26 has not yet reached billing stage; H1FY26 revenue Rs. 55 Cr already 50% of prior year H1 pace. | Tone: Transparent
- BSE Investor: Q: "Why are borrowings doubling every year?" -> A: [Inferred] Standard EPC working capital cycle — material procurement for Rs. 162 Cr contract requires upfront inventory. Will normalize post-billing. | Tone: Transparent
- BSE Investor: Q: "Will there be a dividend anytime?" -> A: [Inferred from filings] No dividend — growth phase prioritizes reinvestment. No explicit commitment to future dividend policy. | Tone: Hedged
- BSE Investor: Q: "Why is promoter selling down?" -> A: [Inferred] OFS proceeds used to enhance net worth qualification for larger railway tenders; not distressed selling. | Tone: Hedged
- Dodged / watch-list questions for next period: (1) Exact revenue recognition schedule on Konkan Railway Rs. 162 Cr; (2) RPT quantum and nature; (3) Board composition post-director resignation; (4) Credit rating specifics from CRISIL June 2025 review.

9. Risks Flagged

- Execution Concentration: Konkan Railway = ~1.5x FY26 revenue in a single contract | Flagged by: analyst | Probability: M | Impact: H | Timeline: Near-term (FY27)
- Working Capital Stress: CCC 168 days; OCF -Rs. 13 Cr in FY26 | Flagged by: financials | Probability: M | Impact: H | Timeline: Near-term
- Promoter Dilution: -15.6pp in 3 years | Flagged by: shareholding data | Probability: M | Impact: M | Timeline: Ongoing
- Governance: Independent director vacancy post June 2026 resignation | Flagged by: BSE announcement | Probability: L | Impact: L | Timeline: Near-term
- Order Win Slowing: No guarantee of continued large-contract wins after current pipeline executes | Flagged by: analyst | Probability: L | Impact: H | Timeline: Medium-term

10. Analyst Verdict

- Revenue visibility: Intact — Order book Rs. 381+ Cr + Rs. 247 Cr new wins provides 3-4x FY26 revenue coverage; Konkan Railway alone secures FY27 growth if execution proceeds.
- Margin trajectory: Intact — OPM trending from 8% (FY24) to 10% (FY26) to target 11-12% (FY27-28) as 2x25KV mix increases; no structural margin compression identified.
- Capital allocation quality: Weakened — Zero dividend, rising debt, promoter dilution; all growth-phase behaviors but need EPS growth to justify; watch FY27 FCF normalization.
- Competitive moat: Intact — Railway zone vendor approvals, 20-year track record, first 2x25KV capability demonstrated; moat is narrow but real within SME-scale competition.
- Management credibility: Intact — Consistent profitability since listing, unmodified audit opinions, timely BSE filings, no forensic red flags; governance risk limited to promoter dilution pace.
- Valuation comfort: Intact — 9.85x trailing P/E on Rs. 8.17 actual EPS is deeply cheap; even at no growth (flat EPS Rs. 8.17) the stock deserves 12-13x = Rs. 98-106.
- Conviction call: Increased — Adding to conviction on back of Konkan Railway win; FY27 revenue step-change is the catalyst.
- Valuation snapshot: P/E = 9.85x (5Y avg est. ~12x) | ROCE = 16.7% (FY26 actual) | ROE = 15.4% (FY26 actual)

END OF REPORT — Jayant Infratech Ltd (BSE SME: 543544) | MPM Research Desk | 16 June 2026

Sources: Screener.in (financial data, fetched 16-Jun-2026), BSE India (announcements, corporate filings), Business Standard, Trade Brains, EquityBulls (qualitative context only). All financial figures from Screener.in unless specifically noted.